



Swire Motor's EV MDT 5.5T
collaboration with ENCA

Executive Summary

The Hong Kong Government has been pushing for electric commercial vehicle (ECV) adaptation through funding and imposing premise entrance regulations. The New Energy Transport Fund (NETF), administered by the Environment and Ecology Bureau, subsidizes the price difference between ECV and diesel counterparts as well as 75% of the supporting facility (charging station). While corporations have rolled out plans to fully electrify their fleets.

To capture this up-surging wave, this proposal aims to explore the IAL's exclusive dealer opportunity for ENCA, an electric light-duty truck supplier that has established presence in North America and Australia. Equipped with ISUZU chassis, DANA electric motor, and CATL battery, the 5.5Ton ECV would be a premium product in the market, which aligns with our group's vision and positioning.

Why do we want to enter the 5.5T EV Market



Diversification

The investment offers an additional source of income, and diversifying our portfolio to the light-duty vehicle market



Adapt to EV-era business model

It is expected that EVs require **40% less** aftersales than their diesel counterparts. We have to carry more EV brands to sustain the **same level of PAT**

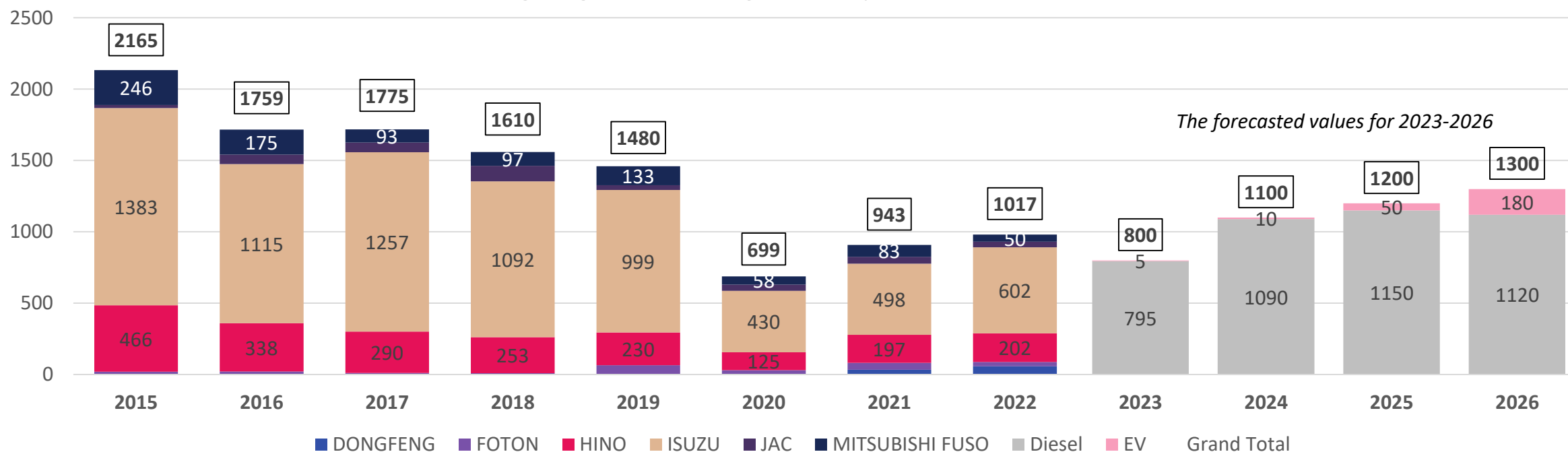


Synergies with existing business

Share resources such as sales, aftersales, logistics, finance, and HR can be levered during the first phase of the investment (~3 years), making it a **low CAPEX project**

Hong Kong 5.5T market background and projection

Hong Kong LDT 5.5Ton Registration by Year and Brands (units)



- The market peaked in 2015, triggered by the scrapping policy on the pre-Euro vehicles
- The normal diesel market at 1500 units per year, dominated by ISUZU (66% of the market in last 5 years), and we forecast the market to gradually return to that level
- The EV 5.5Ton market is projected to account for 14% of the market by 2026

New Energy Transport Fund (NETF)

The market demand is pushed by the government's NETF (a fund with a pool of \$1.1 billion) [link](#), where the fund would subsidize price premiums between EVs and traditional diesel vehicles[#], as well as 75% of the charging facility.

EV 5.5T before subsidy: \$600k → after subsidy \$300k

\$257mil of the \$1.1 billion fund has been used by the end of Q1 2023 (23% of the pool)

The depletion rate is 23.2mil per quarter (avg. of last 4 quarters)

Subsidy for 5.5T EV plus 50kW charger is roughly 0.4mil



- Price premium between the new energy transport product and its conventional counterpart or 50% of the cost of the new energy transport product, whichever is higher, capped at \$3 million per vehicle and \$10 million per application

Supply Chain background

Principle



Founded in 2011, ENCA is on a mission to protect the environment and save the planet by providing sustainable products and services. Through strategic partnerships with renowned auto parts companies like Cummins, EATON, and DANA TM4, they promote the development of new energy vehicles, aiming for a cleaner world and future generations.

Despite using ISUZU's chassis, ENCA has the exclusive right given by ISUZU to sell EV

Chassis supplier & Assembler



Qingling Motors is a Chinese automotive manufacturer established in 1985 through a joint venture with Isuzu Motors. They produce light-duty trucks, heavy-duty trucks, and commercial vehicles. The company operates manufacturing plants in China and has a strong partnership with Isuzu for the production of vehicles and automotive components.

Motor supplier



Dana TM4 is a Canadian company that specializes in electric powertrain systems. They design and manufacture electric motors, power electronics, and control systems for a range of vehicles, including electric cars, buses, and marine vessels, with a focus on sustainable transportation solutions.

Battery supplier



CATL (Contemporary Amperex Technology Co. Limited) is a prominent Chinese company known for producing lithium-ion batteries for electric vehicles and energy storage systems. As one of the world's leading EV battery manufacturers, CATL supplies major automakers globally and plays a crucial role in the development of the electric vehicle industry.

Insights from Qingling motors factory visit



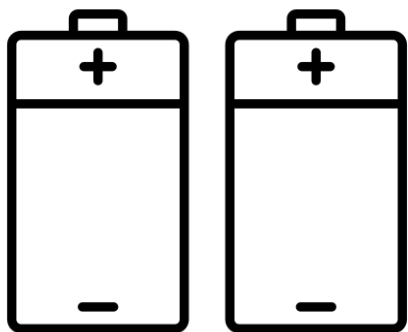
- IAL team visited Chongqing in Feb 2023, and was greeted by Wylie Wang (Chairman & GM of ENCA) and Copper Wang (Product Manager of ENCA).
- IAL team visited the captioned assembly and test-drove EVK100, they concluded that the truck has excellent drivability and is suitable for the Hong Kong market
- ENCA aims to reach an annual production capacity of 500 units in 3 years (250 units for North America, 150 units for New Zealand & Australia, and 100 units for Hong Kong)

Major EV Competition



	Qingling EVK100	Foton eAumark	JAC N55EV
GVW (T)	5.5	5.5	5.5
Seating	1+2	1+2	1+2
Wheelbase (mm)	3360	3360	3365
Curb Weight (kg)	2640	2470	3090
Max speed (km/hr)	105		90
Max power (kW)	130	115	130
Battery Capacity (kWH)	107	81	96
Suggested Range (km)	240	150 (customer feedback)	210
Chassis Warranty	2 years / 80,000 km	3 Years	5 Years / 200,000 km
Battery Warranty	5 Years / 200,000 km	5 Years & 70%	5 Years & 75% / 200,000 km
Price	HKD 620,000.00	HKD 650,000.00	HKD 638,000.00
Net NETF Price	HKD 310,000	HKD 325,000	HKD 319,000

Key sales argument for EVK-100



Highest Capacity of battery offered, **20%** higher than the industry norm → more reliable range figures



Only brand using front disc brake → less maintenance cost

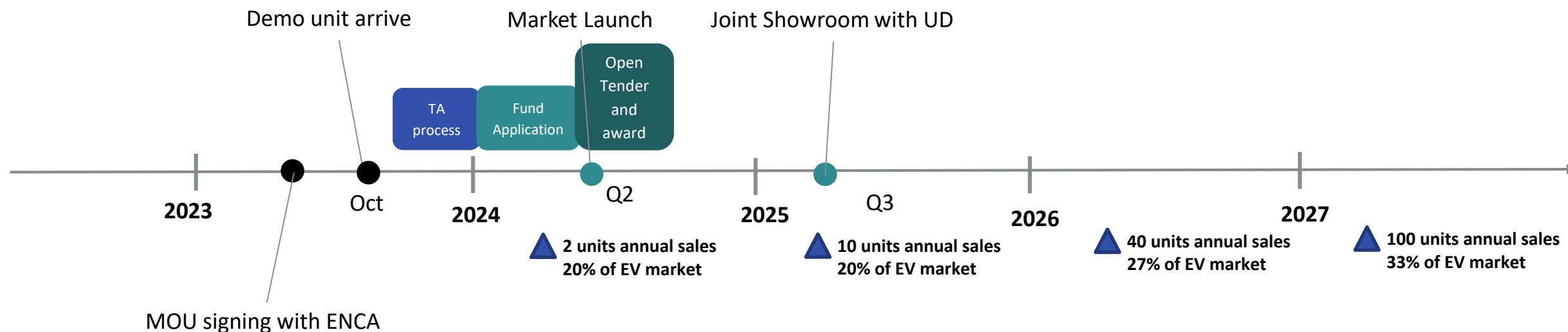


The highest motor-rated power → can sustain the best torque and performance



The only brand with foreign-made motor → Dana's technology has proven the stability of the product

Timeline projection and Target



Achieve 100 units of recurring sales by 2028!

Sales Value Chain

<u>updated on 3-7-2023</u>		3-7-2023	3-7-2023
Current Rate :		7.85000	7.85000
Costing Rate :		7.85000	7.85000
MODEL:		EVK-100 (first batch)	EVK-100
Selling Price		620,000	650,000
IAL Margin rate		12.16%	11.63%
Current CIF (USD)	USD	60,000	63,800
Add: option	USD	0	0
Total CIF Price	USD	60,000	63,800
Total CIF (HKD)	HKD	471,000	500,830
Freight (HKD)	USD	15,000	15,000
Insurance (%C&F)	USD	0	0
CIF Adjustment	USD	0	0
Landed Cost Sub-Total	HKD	486,000	515,830
Other Charges:			
C.C Fee (incl. Dock Fee, Local Terminal, Port Security Charge)	HKD	2,600	2,600
PDI Service	HKD	8,500	8,500
PDI Parts	HKD	10,500	10,500
PDI Warehouse fee	HKD	15,000	15,000
Warranty Service (4 hours) + PCS	HKD	5,000	5,000
Commercial Goodwill	HKD	5,000	5,000
Marketing and Promotion	HKD	5,000	5,000
Sales commission	HKD	5,000	5,000
Type Approval	HKD	2,000	2,000
Other Charges Sub-Total	HKD	58,600	58,600
Total Cost	HKD	544,600	574,430
IAL Margin	HKD	75,400	75,570

Product	Model	GVW (Tonnes)	Price (USD) Per Unit
E-Truck Chassis	EVK100 (Wheelbase 3360)	5.3	63,800
E-Truck Chassis	EVK100 (Wheelbase 3815)	7.3	64,800

Terms: CBU, FOB Shanghai,

Payment Term: 70% upon order placement / 30% ex factory.

Order to Delivery: 3 months

MOQ : 10 units, Split delivery can be discussed.

Validity: 3 months from 4-4-2023

- The first 10u batch can cost as low as USD60k
- Logistic terms changed to FOB Shenzhen
- Margin at HKD75k (10%) per unit

Aftersales Assumptions

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Assumption	1st Year	2nd Year	3rd Year	4th Year	5th Year	6th Year	7th Year	8th Year	9th Year	10th Year
Repair										
Part Revenue (% of MSRP)	20%									
Repair Labor Revenue (% of MSRP)	1%									
Average transaction price	650									
Part Revenue Breakdown	5%	5%	15%	15%	15%	20%	25%			
Maintenance										
Annual Maintenance Labor Fee	4	4	4							

ISUZU diesel 5.5T annual maintenance at HKD10k per year, we assume ECV at 60% of diesel amount

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10
New Car Sales(unit)	2	10	40	100	100	100	100	100	100	100
Acc. 7-year Car Parc	2	12	52	152	252	352	452	550	640	700
Parts Revenue	13	78	364	1,144	2,314	4,277	6,305	8,515	11,050	13,000
Labor Revenue-Repair	1	4	18	57	116	214	315	426	553	650
Labor Revenue-Maintenance	8	48	208	600	960	1,200	1,200	1,200	1,200	1,200
Labor Revenue	9	52	226	657	1,076	1,414	1,515	1,626	1,753	1,850
Maintenance & Repair Revenue Total	22	130	590	1,801	3,390	5,691	7,820	10,141	12,803	14,850
Parts Margin	25%	25%	25%	25%	25%	25%	25%	25%	25%	25%
Part COGS	10	59	273	858	1,736	3,208	4,729	6,386	8,288	9,750
Labor COGS	0	0	0	0	0	0	0	0	0	0
Total COGS	10	59	273	858	1,736	3,208	4,729	6,386	8,288	9,750
Part Margin	3	20	91	286	579	1,069	1,576	2,129	2,763	3,250
Labor Margin	9	52	226	657	1,076	1,414	1,515	1,626	1,753	1,850
Total Margin	12	71	317	943	1,654	2,483	3,092	3,755	4,515	5,100